Hitler now ruled Pétain and his manikin government from the little town of Vichy in France. The Vichy government effectively did the Nazis' grimy work for them. They directed a horrendous common war against the French Resistance and initiated various laws that forced Jews to the best to concentration camps.

In July 1940, Churchill founded the Special Operations Executive (SOE) to help the resistance in France. In October 1940, a meeting was scheduled between Pétain and Hitler. Hitler wished for the French forces to be used against Britain, but Pétain evaded Hitler's requests during the meeting. However, photos of the two men standing together were taken and spread across Europe. This came as a confirmation that the Vichy government had indeed formed a pact with the Nazis.

In July 1940, Churchill issued a final letter to the chief naval officer of the French armada, which was docked in Mers-el-Kebir, Algeria at the time. The letter stated that the boats should be handed over to the British or abandoned. The idea was to keep them from being used by the Kriegsmarine, the German naval force. When the chief naval officer declined, Churchill ordered the Royal Navy to shoot. 1297 French mariners were killed and this caused any friendly relations between the Vichy government and Britain to come to an end.

The Germans had control of the Channel Islands from the June 30, 1940 up until the German surrender in May 1945. There seemed to be always one German soldier for every two islanders throughout the war. The islands were not of any vital significance, but even so, Germany wished to take control of it from British. Rations became scarce after the Normandy invasion of June 1944 and despite the fact that only a few supply ships got past to the British, both the Germans and the islanders were on the verge of starvation.